

PRV CAPITAL | CIO INVESTMENT COMMITTEE MASTER MEMO

Challenge ID: CHALLENGE_20260902_50K_RESET | Snapshot ID: SNAP_20260908_30081014cc8d | Config Hash: 7198df0cd1 | Broker Sync: 2026-09-08 07:21:24 UTC

CHALLENGE RECONCILIATION STATUS: VERIFIED — Invariants Satisfied (Positions: 0, Cash: £49,897.50 + Invested: £0.00 = NAV: £49,897.50)

1. EXECUTIVE BALANCE SHEET & TRUE NET PERFORMANCE (DAY 2 CHALLENGE)

Broker Practice NAV:	£49,897.50	Challenge Start NAV:	£50,000.00	Challenge Net Return:	-0.205% (£-102.50)
PRV Realistic Net NAV:	£49,897.50	Operational Cash Buffer:	£2,500.00 (5.0%)	PRV Realistic Return:	-0.205% (£-102.50)
Preserved Free Cash:	£49,897.50 (100.0%)	Invested Capital (GBP):	£0.00 (0.0%)	Active Positions:	0 Verified (LSE & US)
Unrealized Holdings P&L:	£+0.00	Unrealized Return %:	+0.00% on invested	Completed Exits:	4 / 20 (HSBA: £-14.81, REL: £-3.20, ULVR: £+10.80, STAN: £-12.48)
Taxes Paid (UK SDRT):	£71.18 (0.50% Stamp Duty)	FX Fees Paid (Broker):	£0.00 (0.15% T212 FX)	Challenge Entries Total:	4 (0 Open + 4 Exited)
S&P; 500 Benchmark:	0.00% (Day 2 Baseline)	FTSE 100 Benchmark:	0.00% (Day 2 Baseline)	Challenge Active Alpha:	-0.205% vs Benchmark

2. COMPLETE DAY-2 P&L; CONTINUITY BRIDGE (RECONCILED TO £0.00)

P&L; / Friction Channel	Rate / Basis	Day 2 Actual Amount	Accounting Tag	Audit Verification
Realized Trading P&L;	4 Completed Exits (HSBA: £-14.81, REL: £-3.20, ULVR: £+10.80, STAN: £-12.48)	£-31.32	BROKER_REALIZED	Broker stop loss fills (4 Sep 2026)
Unrealized Holdings P&L;	0 Active Portfolio Holdings (LSE & NYSE)	£+0.00	MARK_TO_MARKET	Sum of current value minus cost basis
UK Stamp Duty (SDRT)	0.50% on UK stock purchases (HSBA, ULVR, REL, AAL)	-£71.18	BROKER_DEBITED	Cash debited by broker upon fill execution
FX Conversion Fees	0.15% on non-GBP buys & sells (0 US orders)	-£0.00	BROKER_DEBITED	Cash debited by broker upon currency exchange
Broker Fill Spread & Slippage	Difference between mid-quote and execution fill	£0.00	EMBEDDED_IN_FILL	Economically embedded in purchase prices
PTM Levy	£1.00 on UK purchases > £10,000	£0.00	BROKER_DEBITED	Zero UK trades exceeded £10,000 threshold
SEC & Regulatory Fees	SEC Sec 31 (\$0.0000278) + FINRA TAF	£0.00	MODELLED_ONLY	Debited only upon US equity liquidation
Dividends & Interest	Cash interest and corporate dividends	£0.00	BROKER_CREDITED	Zero corporate dividend distributions through Day 2
TOTAL ACCOUNTED Δ NAV	Equation: Realized + Unrealized - Costs	£-102.50	RECONCILED	Bridge Variance: £0.00 (NAV £49,897.50 - £50,000 = £-102.50)

3. MACRO IMPACT GATE & DECISION TRACEABILITY (CURRENT HOLDINGS ONLY)

Macro Impact Gate Assessment: Risk Level: MODERATE | Macro Confidence: 85.0/100 | Current Active Holdings Evaluated (0): .

- Supporting Regime Drivers: Resilient corporate earnings and steady operating cash flow across defensive and core holdings ().
- Risk Controls & Failsafes: All active holdings protected by broker-native stop orders; positions with negative momentum liquidated at stop floor.

4. ACTIVE CASH POSTURE — CAPITAL PRESERVATION DIRECTIVE

Current Free Cash: £49,897.50 (100.0%) — PRV Capital operates under the strict rule that Cash is an Active Position. The operational cash preservation buffer is 5.0% (£2,500.00), allowing up to 95.0% dynamic capital deployment. Capital is deployed only when a setup satisfies all Hard Net Edge Gate hurdles (Net R:R >= 2.0x, Cost/Profit <= 30%, Spread/Profit <= 15%). Preserving cash protects downside during market transitions and guarantees dry powder for high-conviction alpha opportunities.

PRV CAPITAL | AUTHORITATIVE ACTIVE HOLDINGS DOSSIERS

Snapshot ID: SNAP_20260908_30081014cc8d | Positions Hash: 4f53cda18c2baa0c... | Total Invested: £0.00 | Reconciliation: VERIFIED

5. UNIFIED POSITION DOSSIERS (ALL VALUES EXCLUSIVELY IN GBP)

Holding / Sector	Qty	Avg Fill (GBP)	Current (GBP)	Market Value (GBP)	Weight %	Net P&L; (GBP)	Thesis Status	Working	Buy Again	Catalyst / Risk
PORTFOLIO TOTAL	0 Pos	-	-	£0.00	0.0%	£+0.00	RECONCILED	-	-	Cost Basis: £0.00 (Cash: £49,897.50 + Invested: £0.00 = NAV: £49,897.50)

TOP CONVICTION RANKINGS (ACTIVE CHALLENGE HOLDINGS ONLY)

Ticker	Conviction Score	Expected Net Return	Horizon	Net Capital Efficiency	Net Expectancy	Audited Position Directives
--------	------------------	---------------------	---------	------------------------	----------------	-----------------------------

PRV CAPITAL | CANDIDATE REJECTION & DEAD CAPITAL AUDIT

Snapshot ID: SNAP_20260908_30081014cc8d | Systematic evaluation of non-trades and capital stagnation hurdles.

6. 'WHY NOT TRADE?' CANDIDATE REJECTION DOSSIER (WATCHLIST CANDIDATES ONLY)

PRV Capital enforces a hard hurdle: **Prefer NO TRADE over a marginal trade**. A good stock is rejected if transaction friction consumes excessive alpha. Tickers below are non-owned watchlist setups screened today:

Candidate	Gross Return	Friction	Net Return	Cost/Profit	Net R:R	Primary Gating Audit	CIO Decision
CRM (Watchlist)	+5.53%	£13.95	+5.25%	10.1%	1.54x	REJECT: Net Reward-to-Risk (1.54x) is below minimum institutional threshold of 2.0x.	HOLD CASH
AZN (Watchlist)	+5.66%	£19.70	+5.28%	13.9%	1.39x	REJECT: Net Reward-to-Risk (1.39x) is below minimum institutional threshold of 2.0x.	HOLD CASH
NVDA (Watchlist)	+5.06%	£13.65	+4.79%	10.8%	1.38x	REJECT: Net Reward-to-Risk (1.38x) is below minimum institutional threshold of 2.0x.	HOLD CASH
MSFT (Watchlist)	+3.75%	£13.83	+3.48%	14.8%	1.65x	REJECT: Net Reward-to-Risk (1.65x) is below minimum institutional threshold of 2.0x.	HOLD CASH
LIN (Watchlist)	+2.80%	£14.02	+2.52%	20.1%	1.37x	REJECT: Net Reward-to-Risk (1.37x) is below minimum institutional threshold of 2.0x.	HOLD CASH

7. FORMAL DEAD CAPITAL & CAPITAL RECYCLING AUDIT (DAY 2 HOLDINGS)

Holding	Active Days	Unrealized P&L;	Remaining Net Ret	Switching Cost	Net Replacement Adv	Recycle Hurdle	Formal Classification
---------	-------------	-----------------	-------------------	----------------	---------------------	----------------	-----------------------

PRV CAPITAL | 4-WAY PARALLEL SHADOW BENCHMARK

Snapshot ID: SNAP_20260908_30081014cc8d | Challenge Baseline: £50,000.00 (Day 2 / 30). Comparative shadow strategy simulation.

8. PARALLEL SHADOW STRATEGY BENCHMARK (STARTING BASELINE £50,000.00)

Strategy ID & Description	NAV (GBP)	Net P&L;	Expectancy	Profit Factor	Win Rate	Cost / Profit	Avg Days	Sharpe	Status
Strategy A: Frozen V2 Baseline	£49,897.50	£-102.50	£-0.29	0.92x	9.1%	0.0%	0.0d	INSUFFICIENT DATA	LIVE_CHALLENGE
Strategy B: Quality + Value	£50,000.00	£+0.00	INSUFFICIENT DATA	INSUFFICIENT DATA	INSUFFICIENT DATA	INSUFFICIENT DATA	INSUFFICIENT DATA	INSUFFICIENT DATA	RESEARCH_BENCHMARK
Strategy C: Quality + Value + Momentum	£50,000.00	£+0.00	INSUFFICIENT DATA	INSUFFICIENT DATA	INSUFFICIENT DATA	INSUFFICIENT DATA	INSUFFICIENT DATA	INSUFFICIENT DATA	RESEARCH_BENCHMARK

9. GOVERNANCE, BUILD FREEZE AUDIT & COMMITTEE CONCLUSION

- Institutional Decision: MAINTAIN PRACTICE EXPOSURE & PRESERVE OPERATIONAL CASH BUFFER.
1. **Build Freeze Governance:** Trading strategy thresholds and parameters remain strictly frozen. Zero discretionary rebalancing is permitted.

2. **Challenge Provenance Integrity:** Report generated from single immutable broker snapshot. All 9 Report Invariants verified with £0.00 tolerance.

3. **Capital Allocation Rule:** Holding cash preserves purchasing power. The 5.0% (£2,500.00) operational buffer is protected with up to 95.0% deployable capital.

4. **Signed by:** PRV Capital Autonomous CIO & Execution Integrity Guard.